
Hotel Bookings

What the data tells us. Why guests cancel. What to do about it.

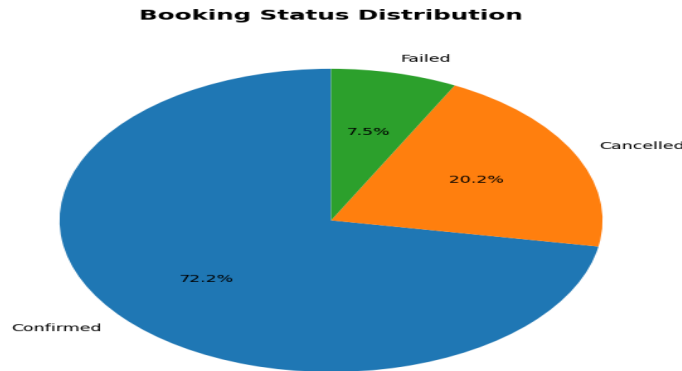
Three Things You Need to Know

01

One in Five Bookings Dies

20.2% of all bookings got cancelled.
That's 6,070 lost bookings out of 30K.
Another 7.5% simply fail to complete.

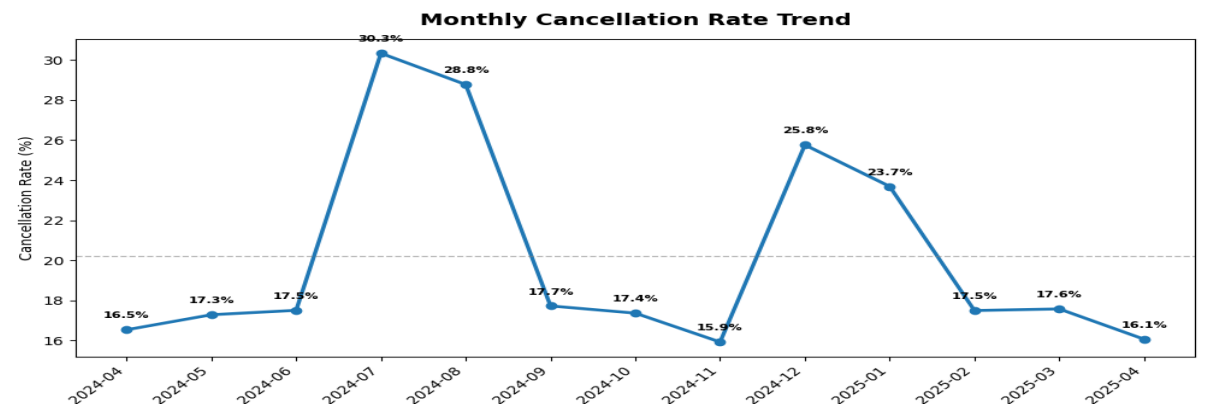
Combined, you lose \$166M in potential revenue.



02

Summer Is a Cancellation Machine

Jul-Aug cancellation rate: 28.8–30.3%.
That's nearly 1.5x the annual average.
Guests book multiple hotels, pick the cheapest,
then ghost the rest. Classic peak-season behavior.



03

No Check-in Date = Almost Certain Cancel

5,468 bookings never got a check-in date.
92.3% of those were cancelled.
That's 83% of ALL cancellations in one bucket.
Fix this one data gap, and you fix the majority.

Not All Channels Are Created Equal

BY CHANNEL

Web is the golden channel.

\$28,191 avg value • 17.6% cancel rate

50% of all bookings and the lowest cancellations.

Mobile App underperforms on value.

\$21,351 avg (that's 24% less than web.)

Travel Agents are the cancellation king.

27.9% cancel rate. Nearly 1 in 3 bookings lost.

BY ROOM TYPE

Standard = highest volume, highest cancel.

55% of bookings but 23.3% cancellation.

It's the "just-in-case" room. Low commitment.

Deluxe = best retention by far.

Only 16.0% cancel rate at similar prices.

People who pick Deluxe mean business.

Suite = stable niche (18.0% cancel).

Small volume but consistent.

BY STAR RATING

Star rating barely moves the needle.

2-star: 19.8% • 3-star: 20.2%

4-star: 20.0% • 5-star: 21.3%

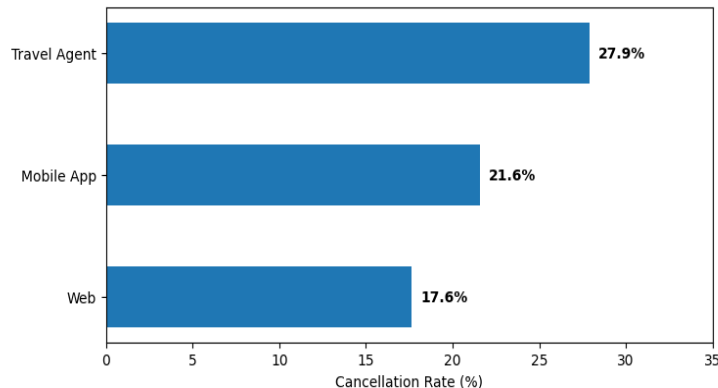
Cancel rates are essentially flat across stars.

The insight?

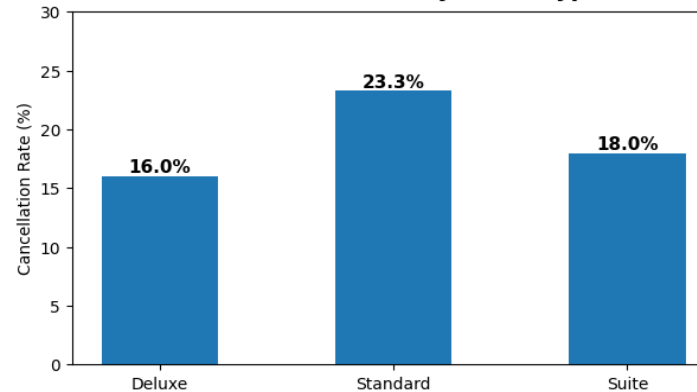
Cancellation isn't about quality.

It's about channel and commitment level.

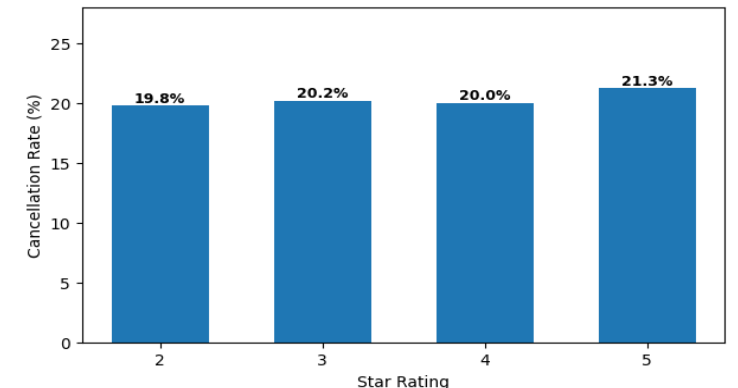
Cancellation Rate by Booking Channel



Cancellation Rate by Room Type



Cancellation Rate by Star Rating



Why We're Losing Bookings Before Day One

THE CANCELLATION ANATOMY

The missing check-in date is the single biggest red flag.

5,468 bookings had no check-in date. Of those, 92.3% cancelled.

This means 83% of all cancellations share one trait: no check-in assigned.

Travel Agents are booking speculatively.

They block rooms in bulk, then release what they can't sell.

Result: 27.9% cancel rate vs 17.6% for Web direct.

Standard rooms are “placeholder” bookings.

Cheapest option, lowest commitment, easiest to abandon.

23.3% cancel rate —> 7.3pp higher than Deluxe.

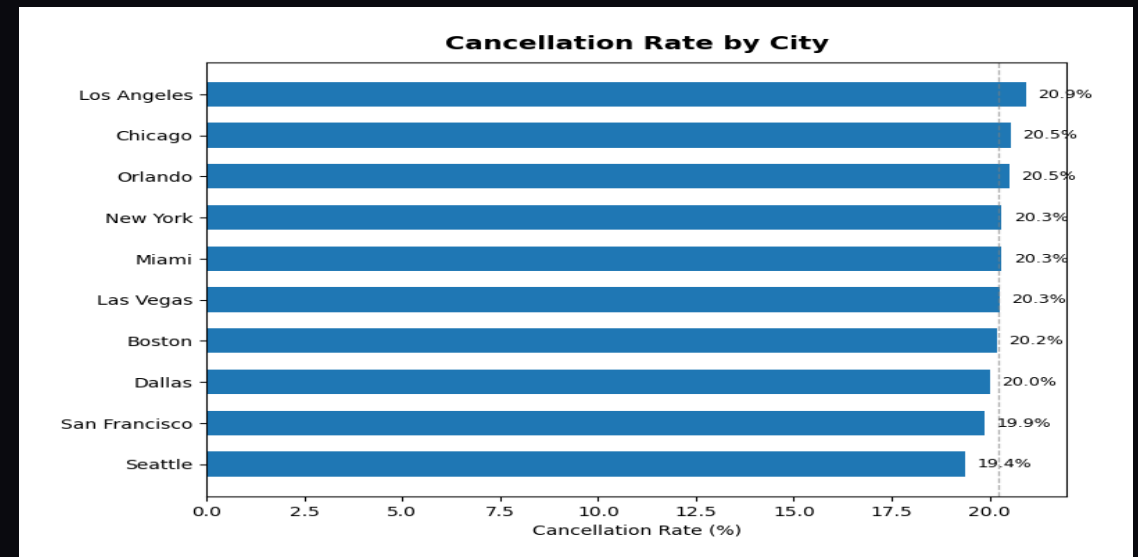
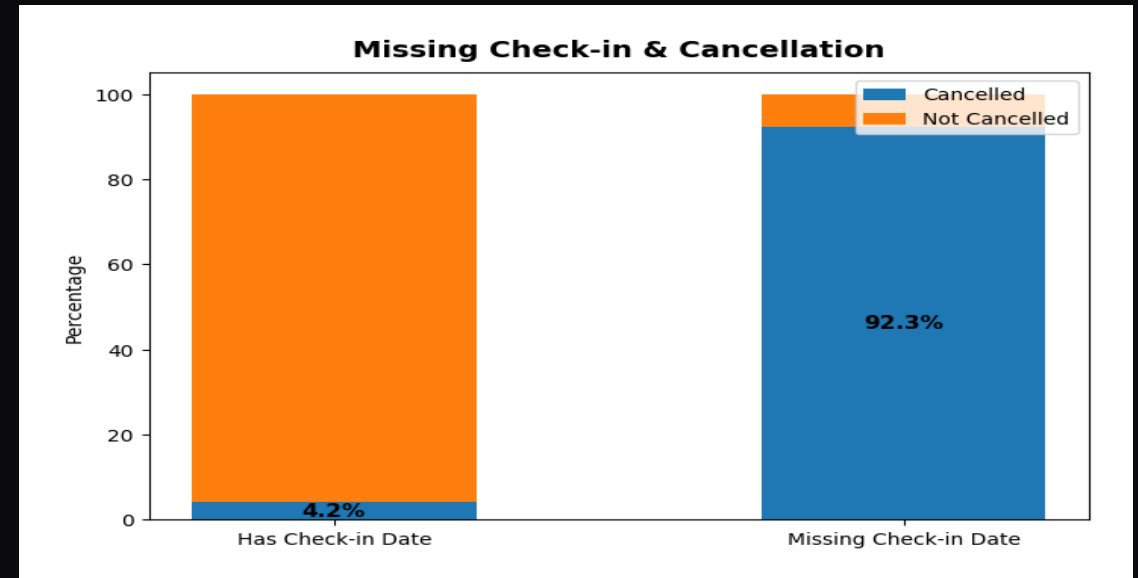
Summer over-booking is real.

Jul-Aug sees 30% cancellations. Travelers book 2–3 options,

then pick the stay, our hotel might be the loser.

Coupon users and non-users cancel at the same rate.

Promotions aren't causing cancellations — that's good news.



The 'Why' Behind the Numbers

WHY SOME CHANNELS WIN

Web users are self-selecting. They research, compare, decide.

That's why they spend \$28K avg and cancel least.

App users are impulse-driven. Smaller screens, quicker decisions.

Lower avg value (\$21K) suggests price-hunting behavior.

Travel Agents batch-book with zero skin in the game.

No deposit => no consequence for cancelling. Simple as that.

THE SEASONAL STORY

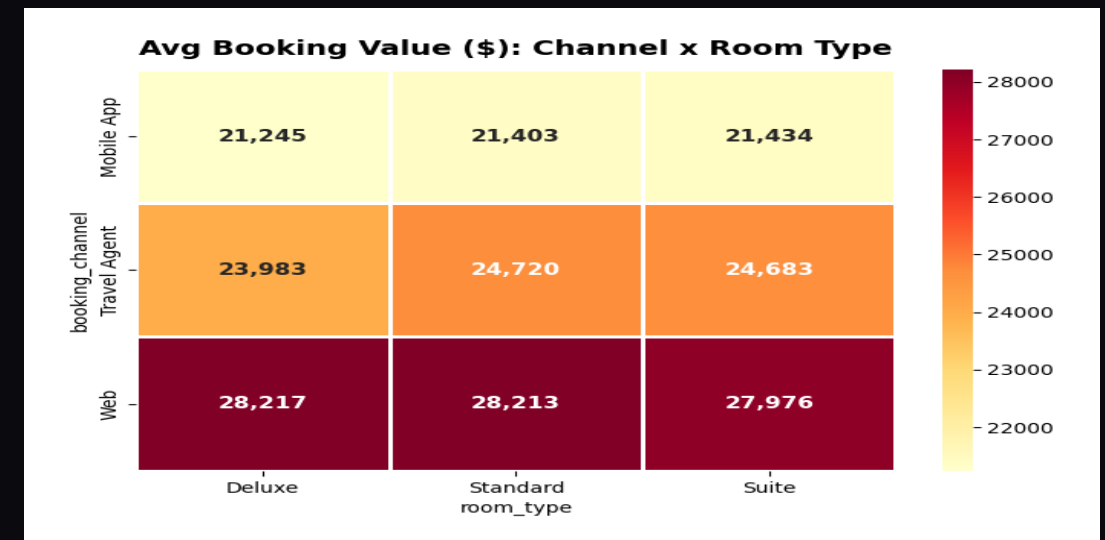
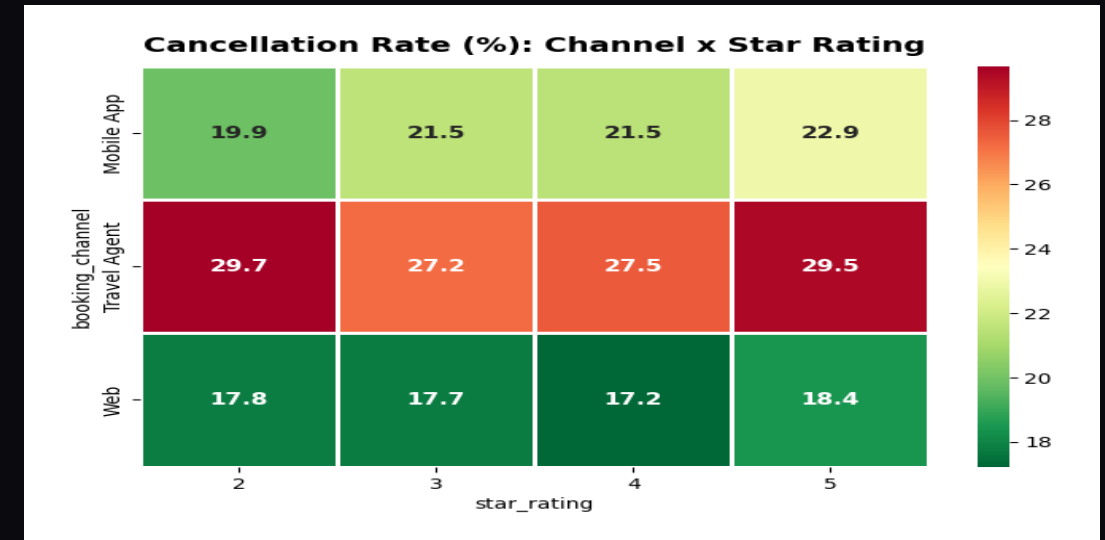
Summer = high demand, high flakiness.

Booking values actually climb (\$26K in Aug vs \$22K in Apr).

But cancellation spikes to 30%. Demand creates over-booking.

Nov is the sweet spot: lowest cancel rate (15.9%), solid values (\$25.7K).

Yearly trend shows avg values rising 23% YoY —>>platform growing.



How to Stop the Bleeding: 5 Moves to Cut Cancellations

01 Fix the Check-in Gap

Auto-assign check-in dates at booking. Send confirmation nudges after 48hrs.
83% of cancellations have this gap (closing it is the single highest-ROI fix).

02 Make Agents Put Skin in the Game

Require 20–30% non-refundable deposit on Travel Agent bookings.
They cancel 28% of the time because there's zero cost to doing so.

03 Launch Non-Refundable Rate Tiers

Offer Standard rooms at 8–12% discount for non-refundable bookings.
People who pick this option are committed. They don't cancel.

04 Progressive Cancellation Fees

Free cancel within 24hrs → 10% fee at 7 days → 25% at 3 days → 50% same-day.
Gives flexibility early, but makes last-minute ditching expensive.

05 Upsell Standard → Deluxe

A \$50 room-upgrade credit reduces cancellation by 7.3 percentage points.
Deluxe guests cancel at 16% vs Standard's 23%. The math writes itself.

How to Make More Money from the Guests You Keep

WEB-FIRST LOYALTY

Web is 50% of volume with the best economics.

Build a loyalty program that rewards direct Web bookings.

Tier it: Bronze/Silver/Gold.

499 unique customers averaging 60 bookings each (they deserve it.)

PERSONALIZED RE-BOOKING

When someone cancels, don't just refund.

Offer 5% off alternative dates.

Turns a loss into a save.

Even a 10% conversion rate on 6,070 cancellations = 607 recovered bookings.

MOBILE APP UPSELLS

App users spend \$7K less per booking than Web users.

Close the gap with App-exclusive upgrades: room bundles, late checkout, breakfast add-ons.

The user is already on their phone (make the upgrade feel effortless).

REPEAT CUSTOMER PRICING

Every customer books an average of 60 times.

Introduce volume-based pricing: 5% off after 10 bookings, 10% after 25.

Lock in loyalty before a competitor does.

Where to Push: Pricing, Promos & Channel Playbook

PRICING

Summer (Jul-Aug): raise prices 10–15%.

Demand is high, cancel is high. Capture value from committed guests.

Pair with strict cancellation terms to filter out the flippers.

Off-peak (Nov, Feb-Apr): push promotions here.

Lowest cancel rates + best ROI on marketing spend.

PROMOTIONS

Coupons don't increase cancellations.

Coupon users cancel at the same rate as non-users.

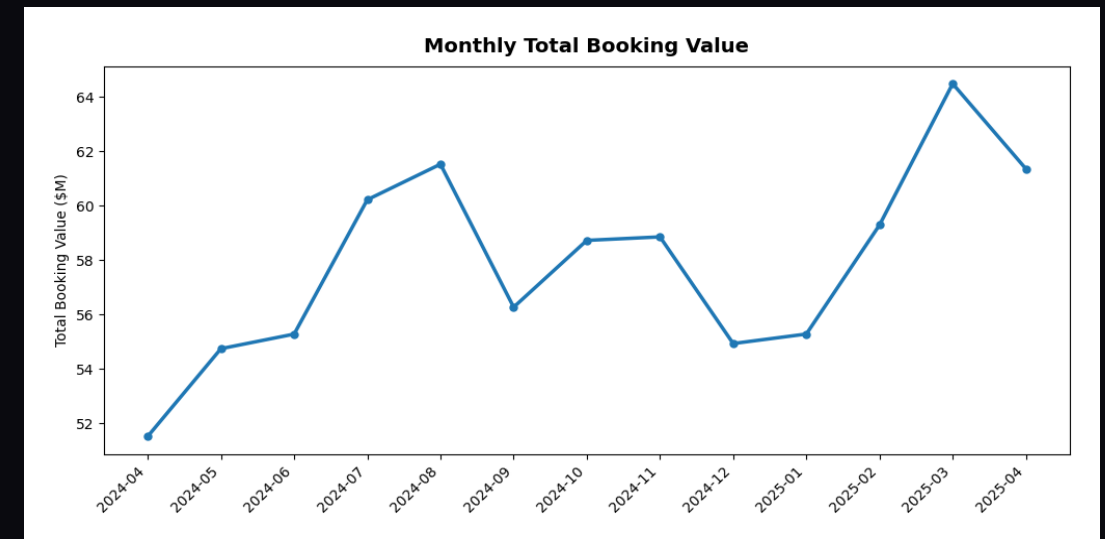
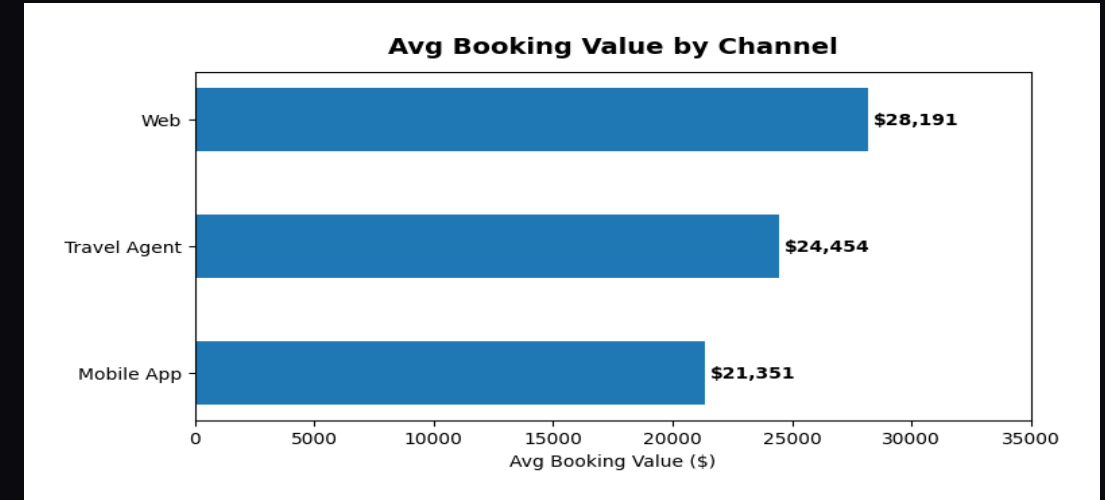
Target Standard-room bookers with Deluxe upgrade vouchers.

CHANNEL STRATEGY

Double down on Web. It's your best channel by every metric.

Renegotiate Travel Agent terms. Deposits, shorter booking windows.

Mobile App: not broken, just under-monetized. Fix with bundles.



The Bottom Line

You're not losing guests because your hotels are bad.

You're losing them because the system makes cancelling free and easy.

Fix the check-in data gap. Make agents pay deposits. Upsell to Deluxe.

Those three moves alone could cut cancellations from 20% to under 15%.

That's ~1,500 recovered bookings. Roughly \$37M in recaptured revenue.

Per year.